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Faculty of Business Studies

BB293

Financial Accounting in Context

Final Exam

2025-2026 / Spring Semester

11 – June – 2026

Version B

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Number of Exam Pages: 6 (including this cover sheet)	**Time Allowed: 3 Hours**

Instructions:

1- Take **FIVE (5)** minutes to read all instructions carefully before attempting to write.
2- Mobile phones must be in "SWITCHED **OFF"** mode throughout the examination.
3- This is a **CLOSED** book examination. NO documents of any kind are allowed.
4- You **MUST** answer the questions using only the answer booklets provided.
5- You **MUST** return the examination paper together with your answer booklets.
6- Do **NOT** write your answers in pencil except for graphs/sketches.
7- Students are **NOT** allowed to use any type of dictionary or mobile phones during the examination.
8- Students are allowed to use ***non-programmable*** calculators only (if needed).
9- Any form of cheating will **NOT** be tolerated and will subject you to AOU Cheating Policy.

Question 1 (20 marks)

1. An amount of money paid to shareholders out of company profits, reducing retained earnings:
   a. Finance cost
   b. Dividend paid
   c. Revenue received
   d. Provision

2. A financial statement that shows the company's cash inflows and outflows during a period:
   a. Balance sheet
   b. Income statement
   c. Cash flow statement
   d. Statement of retained earnings

3. A non-current asset that cost £50,000 had accumulated depreciation of £30,000 and was sold for £25,000. What is the profit or loss on disposal?
   a. Loss of £5,000
   b. Profit of £5,000
   c. Loss of £15,000
   d. Profit of £15,000

4. A contract which is legally enforceable and satisfies all the essential elements of a contract:
   a. Void contract
   b. Valid contract
   c. Voidable contract
   d. Illegal contract

5. An obligation that is uncertain in timing or amount and is recognized only if probable and measurable:
   a. Current liability
   b. Long-term liability
   c. Provision
   d. Contingent liability

6. Revenue received from the sale of goods and services is classified as cash flow from:
   a. Investing activities
   b. Operating activities
   c. Financing activities
   d. Non-cash item

7. An interest expense paid to lenders or bondholders is included in the cash flow statement under:
   a. Operating activities
   b. Financing activities
   c. Investing activities
   d. Non-cash item

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8. The allocation of the cost of a non-current asset over its useful life is called:
    a. Finance cost
    b. Depreciation expense
    c. Amortization of liabilities
    d. Subscription expense

9. Equipment with a cost of £40,000 and accumulated depreciation of £15,000 was sold for £30,000. The gain/loss on disposal is:
    a. Gain of £5,000
    b. Loss of £5,000
    c. Gain of £25,000
    d. Loss of £25,000

10. Investments that are short-term, highly liquid, and easily convertible to cash are called:
    a. Operating assets
    b. Cash equivalents
    c. Current liabilities
    d. Trade receivables

[2 marks for each correct answer = 20 marks]

Question 2 (20 marks)

Employees contribute to the success and growth of an organization and are often referred to as valuable assets. However, the salaries and wages paid to employees are recorded as expenses in the financial statements. Explain this concept, highlighting the role of employees in an organization and why their remuneration is treated as an expense rather than an asset.

Question 3 (20 marks)

a. A contract is a legally binding agreement between two or more parties that creates enforceable rights and obligations. Explain the concept of a contract in detail and discuss the three main types of contracts, with examples.

(10 marks)

b. Green Ltd has the following relevant information:

1. Green Ltd has cash on 1 January 20X9 of £10,000.
2. The opening inventory on 1 January 20X9 is £3,000.
3. During January 20X9, Green Ltd makes purchases of £15,000, paying by cash.
4. The company sells all of its inventory in January, making cash sales of £6,000 and credit sales of £30,000.
5. There is no inventory at the end of January.
6. In January, the expenses of the company are £4,000. These will be paid on 2 February 20X9.

Required:

a. Calculate the profit made by Green Ltd for January 20X9 and show the cash balance at 31 January 20X9.

b. Can Green Ltd pay for the expenses due in February 20X9?

(10 marks)

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Question 4 (20 marks)

Below are **Orion Ltd.'s statement of financial performance** for the year ended 31 December 20Z4, the retained earnings section of the statement of changes in equity for the year ended 31 December 20Z4, and the statements of financial position for the years ended 20Z4 and 20Z3:

Orion Ltd – Statement of Financial Performance for the year ended 31 December 20Z4

	£
Sales revenue	820,000
Cost of sales	(400,000)
Gross profit	420,000
Investment income	4,200
Administrative expenses	(180,000)
Distribution costs	(75,000)
Profit before interest and taxation	169,200
Finance cost	(9,800)
Profit before taxation	159,400
Taxation	(45,000)
Profit for the year	114,400

Orion Ltd – Statements of Financial Position for the year ended 31 December

	20Z4 (£)	20Z3 (£)
Assets		
Non-current assets		
Property, plant and equipment at cost	180,000	130,000
Less accumulated depreciation	(80,000)	(65,000)
Net book value	100,000	65,000
Investments	30,000	15,000
Current assets		
Inventory	40,000	50,000
Receivables	220,000	28,000
Interest receivable	2,500	2,800
Prepayments	3,000	3,500
Bank	7,500	6,000
Total assets	403,000	170,300
Equity and liabilities		
Ordinary shares (£1 each)	38,000	20,000

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Share premium on ordinary shares	15,000	0
10% irredeemable preference shares	25,000	25,000
Retained earnings	145,000	50,000
Total equity	223,000	95,000
Non-current liabilities: Bonds	110,000	10,000
Current liabilities		
Payables	65,000	40,000
Accruals	700	5,000
Interest payable	1,500	2,000
Taxation	52,800	18,300
Total equity and liabilities	403,000	170,300

Required:
Prepare the cash flow statement for Orion Ltd for the year ended 31 December 20Z4, showing cash generated from/(used in) operating activities.

Question 5 (20 marks)
Carter Bank is carrying out a credit appraisal for Orion Ltd, which has applied for an unsecured five-year loan of £85,000. Extracts from Orion Ltd's latest financial statements are provided below.

Extract from Financial Statement

	20Y7 (£)	20Y6 (£)
Current assets		
Inventory	45,500	50,000
Trade receivables	120,800	85,000
Prepayments	14,200	18,000
Cash and cash equivalents	40,000	60,000
Total current assets	220,500	213,000
Equity and liabilities		
Share capital and reserves		
Ordinary share capital	1,000,000	1,000,000
Retained earnings	700,000	580,000
Total share capital and reserves	1,700,000	1,580,000
Non-current liabilities	1,050,000	1,000,000
Current liabilities		
Trade payables	55,000	35,000
Accruals	30,000	28,000
Corporation tax	32,000	40,000
Total current liabilities	117,000	103,000
Total equity and liabilities	2,867,000	2,683,000
	20Y7 (£)	20Y6 (£)
Operating profit	225,000	240,000
Finance cost	(70,000)	(50,000)

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Profit before taxation	155,000	190,000
Taxation	(32,000)	(40,000)
Net profit	123,000	150,000
Dividends paid	15,000	25,000

Required:
Using the information above, compute the following ratios for 20X7 and 20X6 and comment on each for yearly comparison:

a. Current ratio
b. Acid-Test ratio
c. Gearing ratio
d. Interest cover
e. Debt ratio

End of Questions

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